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VCs shoot for the stars as space-tech funding paces for growth

By [Leah Hodgson](#)

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Global VC funding for space-tech startups in 2025 is set to surpass last year's total, but investor bets are becoming more concentrated as the vertical matures.

According to PitchBook data, VC investment in space tech has reached \$3.3 billion this year, which puts 2025 on course to reverse last year's funding dip. However, the deal count could land below last year's level, with most capital going toward mature startups.

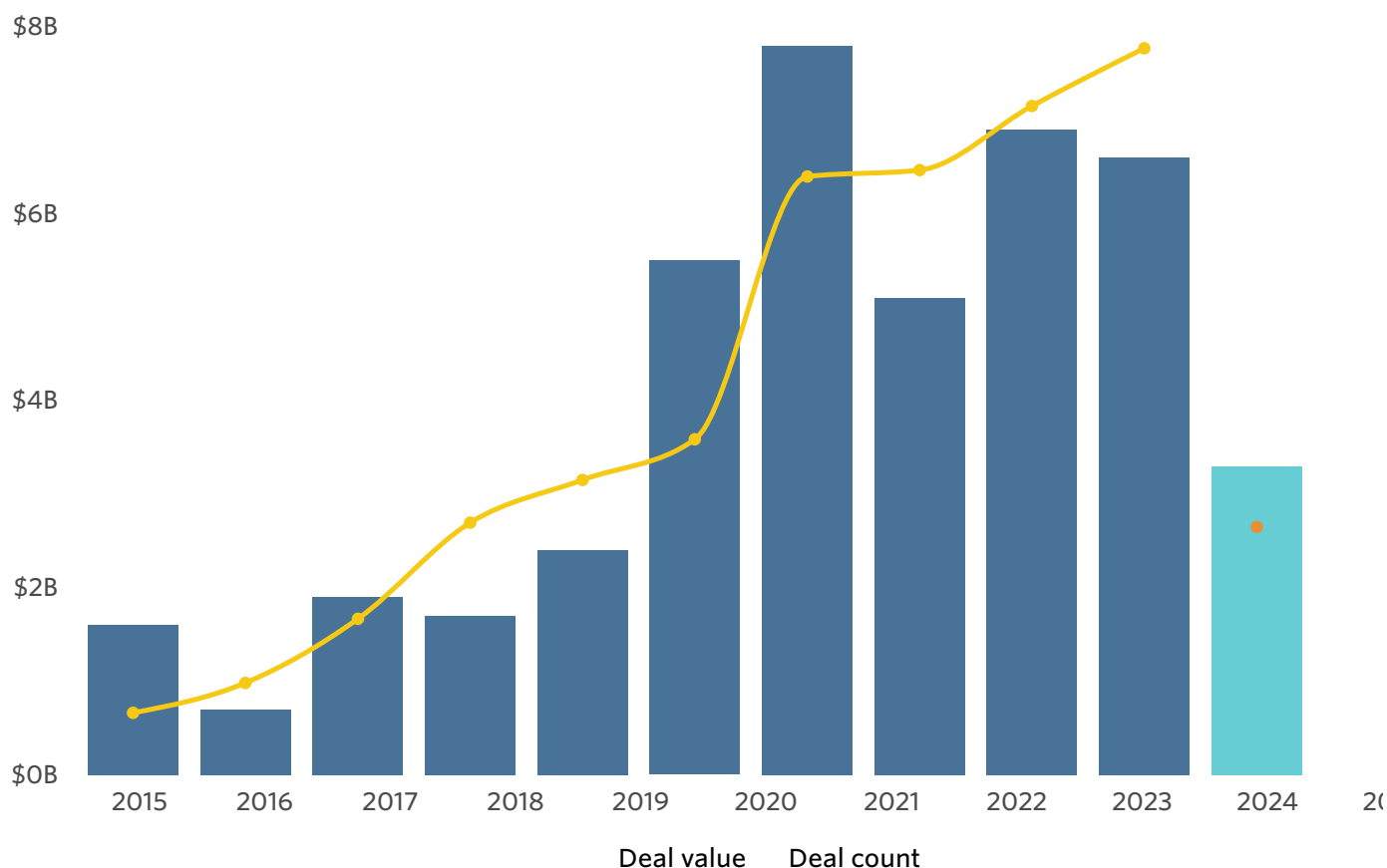
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Space tech VC funding set to rise



Source: PitchBook data
As of June 24, 2025



Late-stage deals accounted for 41.3% of space tech VC deals this year, up from 39% in 2024, the highest percentage in a decade. This suggests the overall market is transitioning away from its more speculative phase and that investors are putting more capital into well-established businesses.

Demand for space tech startups is being fueled by a surge in investor appetite in defense-related verticals.

China's rapidly advancing space capabilities have prompted the US to pledge more investment in the market. Speaking at the Department of the Air Force Summit in March, Defense Secretary Pete Hegseth said: "There's no way to ignore the fact that the next and the most important domain of warfare will be the space domain."

Furthermore, frayed security ties between the US and Europe have led to significant commitments from the latter for defense spending, including space.

Several US defense-related space tech startups closed sizable rounds this year, including military-class orbital systems developer [True Anomaly](#), which secured a \$260 million [Accel](#)-led Series C in April. Satellite manufacturer [K2 Space](#) closed a \$110 million round in February led by [Lightspeed Venture Partners](#) and [Altimeter Capital](#). The company is currently developing its first government mission.

Advances in AI are also unlocking new opportunities for space tech investors, particularly in geospatial analytics and intelligence. In March, satellite maker [Muon Space](#) launched a first-of-its-kind satellite constellation in partnership with Earth Fire Alliance to address wildfire risks using AI. Earth imaging satellite operator [Planet Labs](#) teamed up with [Anthropic](#) to analyze Earth observation data.

While the public markets have been volatile for space tech companies this year, there are signs that exits are improving. Earlier this month, space infrastructure company [Voyager](#) listed in New York with a market cap of \$1.9 billion and closed its first day of trading **up 82% from its IPO price**. Space systems manufacturer [Karman Space & Defense](#) opened at a 30% increase from its listing price in its February IPO.

Correction (June 27, 2025): A previous version of this story incorrectly stated that World View raised a \$2.6 billion funding round. It has been updated to remove the deal, the value of which has not been disclosed.

Featured image by Sergio Bonilla/Getty Images

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About [Leah Hodgson](#)

Leah Hodgson is a London-based senior reporter for PitchBook, covering the venture capital ecosystem across Europe and the Middle East. Leah, who joined PitchBook in 2018, graduated from the University of Surrey with a BA in international politics with French. She has previously been a radio reporter in France. She later turned to financial journalism, covering the wealth management industry.

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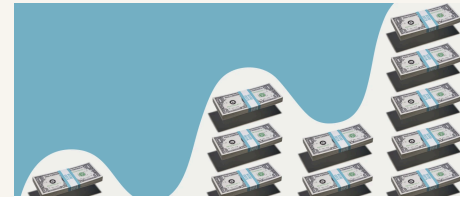


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